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INTRODUCTION

Generally, all forms of insurance contract namely; marine, aviation, life, accident, property, fire etc are governed by the general principles of law of contract. What the above means is that a contract of insurance is governed by the necessary ingredients of a valid contract. Offer and acceptances includes as follows; offer and acceptance, intention to enter into Legal relations and considerations. 1

DEFINITION

In insurance, insurance contract can be defined as an agreement or contract whereby the insurer promises to pay benefits to the insured or on their behalf to a third party if certain defined event occurs.

Under this definition, of insurance contract, two things are worthy of note;

1. The event must be uncertain
2. The meaning and definition of insurance contract is subject to the fortuity principle.

What is fortuity principle?

The fortuity principle acts to presumptively exclude intentional conduct from coverage. However unless an insurer expressly agree or agreed to provide coverage for intentional acts. 2

When is a valid contract of insurance created?

A contract of insurance like any other contract is created where there has been an "unqualified acceptance by one party of an offer made by the other party. This was thoroughly portrayed and explained in the case of *Ngillari v. Nicon 1998 8 NWLR (pt. 560) pg. 1, at 15.*

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1. https://en.m.wikipedia.org

In the case of *F.B.N plc V. Abba*; the court stated clearly the traditional requirements of a contract as it is applicable to insurance contract. Thus for an insurance contract to exist, the following criteria must be met as stated in the afore-mentioned case;

1. There must be an offer and acceptance after conclusion of negotiations.
2. The parties must have capacity to contract.
3. There must be intention to create legal relations.
4. The parties must be of one mind that is *ad idem*, on the subject matter of the contract; and
5. There must be consideration which must move from the promisee though it need not move to the promisor.

THE CASE OF *NGILLARI V. NICON*

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The case of Ngillari v. Nicon summarized in a unanimous decision when a contract of insurance is created, the following ingredients are required to be present.

1. **Offer and Acceptance:** A contracted of insurance is created where there has been an unqualified acceptance by one party of an offer made by the other.

   Note: If the matter is still under negotiation, there is no contract although it is open to the parties pending conclusion of the negotiation to enter into an interim contract of a limited nature.

   Note also: When a proposal in the normal form is accepted without qualification, the contract is complete and the insurer is bound to issue and the proposer to accept a policy in accordance with the stipulations of the proposal.

   It is also worthy of note that a contract of insurance should be one of utmost good faith *"uberima fidei"* to constitute a contract of insurance therefore, there must be an unqualified

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2. Ngillari v. Nicon 1 (1998) 8 NWLR (Pt. 560) 1
3. Insurance law lecture note. - Felix Biragbara, Esq.
4. F.B.N. Plc v. Abba

acceptance by the other party. In other words, a *prima facie* contract of insurance only comes into existence the moment an insurance proposal in the normal form is accepted unequivocally without qualification by the insured. The above ingredient was portrayed as necessary in the case of *Industrial and general insurance company limited v. Kechinyere Adogu (Mrs.)*

2. **Payment of Insurance Premium:** The fundamental purposes of an insurance contract is to give cover to an insurance risk. **Section 50(1) and (2) of the insurance Act** makes payment of insurance premium a condition precedent to a valid contract of insurance. C5)

INTERPRETATION OF STATUTE:

C6)

Section 50(1) of the insurance Act 2004

The provisions of section 50(1) of the insurance Act provides as follows;

"The receipt of a insurance premium shall be a condition precedent to a valid contract of insurance and there shall be no cover in respect of an insurance risk unless the premium is paid in advance"

In *Industrial and General Insurance Company Limited v. Kechinyere Adogu (Mrs.)* Aji, J. C. A held that:

> ***"section 50(1) of the Insurance Act is clear and unambiguous. It is simply to the effect that the receipt of an insurance premium is a condition precedent to a valid contract of insurance, and there is not cover in respect of an insurance risk unless the premium is paid in advance. In other words, a valid insurance contract is made when a premium for the insurance is paid in advance by the insured".***

- Ibid[2]
6. Legal illuminations of Akintunde Esan. Esq
7. Insurance Act and Person Reform Act Law of the Federation

Note: However in *National Insurance Corporation of Nigeria v. Power* & Industrial Engineering Company Ltd. Obaseki J.S.C held that, it should be noted that, a contract of insurance may involve merely a promise to pay the premium. It is not the law that there must be implied in a contract of insurance a provision that right of indemnity by the assured is conditional on his previous payment of the premiums.

Note: "*Premium*" under insurance contract is similar and in fact the same thing as "*consideration*" as a principle of contract and required ingredient for the formation of a valid contract. In this case – the formation of a valid contract of insurance.

3. **Intention to enter into legal relations:** Much academic controversy has been generated by the question, whether in addition to offer, acceptance, and consideration, a fourth ingredient, namely the intention to enter into legal relations, is essential to the formation of a contract.

   Just like we have a law of contract, in the case of *Balfour v. Balfour* which the court held that there was no contract between the parties because there is no intention to enter into legal relations between a husband and wife. (4)

   However, in the case of a commercial contract and contract of insurance, intention to enter into legal relation is a necessary ingredient for the formation of contract of insurance.

   Note: An offer manifests the intention to enter into a legally binding contract.

   However professor Williston happens to be the greatest exponent of the school of thought that intention to enter into legal relations is irrelevant to the formation of a contract. Professor Williston's views may be summarized in this well – known form.

   "… the common law does not require any positive intention to create a legal obligation as an element of contract… A deliberate promise seriously made is enforced irrespective of the promisor's views regarding his legal liability"

8. Nigerian law of contract –I.E SAEAY

4. **Consensus ad idem/ meeting of the minds:** Consensus ad idem is one of the required and necessary ingredient for the formation a valid insurance contact.

The court in *Ado v. Nigeria general insurance Co. ltd, Justice, Okuribido* held that the terms of any contract must be sufficiently brought to the notice of the party concerned. The communication to the proposer indicates that there is consensus ad idem between the parties.

In shedding further light regarding this requirement it is out of place even for a lay person for one party to assume they know what the other party has in mind and to consent to same. Hence concrete communication of your offer i.e sufficiently bringing it to the notice of the party concerned is a condition precedent and requirement for the formation of contract of insurance.

5. **Capacity to contract:** The most basic rule of contracts is that they are binding on the parties to them. Indeed the most common definition of a contract is that it is an agreement that the courts will enforce i.e agreement binding at law. (8)

However, even when all the ingredients which go to make a valid contract are present in an agreement, it may nevertheless turn out to be illegal, voidable or unenforceable, as a result of a defect or defects contained in it or associated with it.

A part from defects *Stricto Sensu*, a contract may not be enforceable against certain categories of people, who enjoy a special status in contractual transactions. Thus status or privilege is intended as protection for people who because of their circumstances, can easily be exploited or defrauded in the making of bargains. This protected group include, minors i.e infants, lunatics, drunkards, and illiterates.

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9. Nigerian law of contract –I.E SAEAY
10. Legal illuminations of Akintunde Esan. Esq
- Supra[7]

Note: under Nigerian law, the year that someone should attain before they have capacity to contracted is 18 years and above.

Addendum to the case of Ngillari v. Nicon

In addition, since there is no statutory provision to the contrary, a valid oral contract of insurance may be consummated. The legal principle appears to be the same in all common law jurisdictions. In an American case, the insured brought an action against the insurer and its agent to recover loss under an alleged oral policy The court held that an oral agreement was in existence. The judge stated that it was well recognised that oral contracts of insurance are valid, and this was so even in jurisdictions which required that an insurance contract must be in writing. Similarly, in *Esewe v Asiemo and Face to Face Assurance Ltd.*, it was clearly stated by Atake, J. that a contract of insurance need not be in writing. According to him, it is in law not necessary that there should be a written policy in existence and there was no legal obligation on the insured to fill in a proposal form. An oral contract of insurance was valid if there was an intention to enter into such a contract. The fundamental essentials of such contract were agreed to between the parties and the premium was paid and accepted. In similar decision in *Salako v. Lombard Insurance Co. ~~UK~~* (9) the court stated that where the agreement is constituted orally, such oral contract of insurance is deemed to be subject to the usual and standard forms cover contained in the policies of the defendant company. The court further observed that having paid the sum indicated the risk is thereby covered in the usual form of the company's policy. The conditions in the usual form would be deemed to have been incorporated by reference to the temporary cover agreement. (10)

11 . F.B.N Plc v. Abba (1998) 10NWLR 227
12. Campbell v. Wilson 18 Wis 2^{nd} 22117 Now 2^{nd} 620 (1963) (1975) N.C.L.R. 433 at 439

In line with previous decisions, the Supreme Court revisited the issue in *Ngillari v. NICON*, as to whether writing is required in non-marine insurance. The court stated that although writing is necessary in marine insurance, in other form of insurance, there is no necessity. Any positive act indicative of an intention to create a contract may be sufficient acceptance. A demand for the premium may be sufficient. Also, a parol contract of non-marine insurance appears to be valid. Therefore, any document, which contains the terms of the contract, may be treated as or even called a policy, provided the intention of the parties is clear and there is agreement on the fundamental essentials of such contract. *Iguh JSC* said,

> *"Accordingly, it seems to me that even a parol contract of non- marine insurance may be binding and enforceable as long as all the fundamental essentials of such contract are present. Consequently, any document which fully contains the fundamental essentials or terms of an insurance contract may, it seems, be treated as an insurance policy, particularly, as there is no requirement of a statutory or formal document to create a contract of insurance. Where, therefore, a contract is created by any binding means that to all intents and purposes, must be regarded as the policy".*

CONCLUSION

In conclusion, just as the first limb of the popular Lord Denning's saying "*... you cannot put something on nothing and expect it to stand*" - it is necessary to have all this required ingredients for there to be a valid contract of insurance.